**IN THE NATIONAL COMPANY LAW TRIBUNAL,**
**NEW DELHI COURT III**

**Item No. 08**
(CAA)-14(ND)/2021

**IN THE MATTER OF:**
Ekta Ayat Niryat Pvt. Ltd. and Hertz Electricals (International) Pvt. Ltd.

**.....PETITIONER COMPANIES**

**SECTION**
**U/s 230/232**

**Order Pronounced on 01.08.2023**

**CORAM:**
**SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)**

**SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)**

**PRESENT:**
For the Applicant :
For the Respondent :

**ORDER**

Order pronounced in open court vide separate sheets.

(CAA)-14(ND)/2021 stands **sanctioned** and **disposed of.**

-SD-
**(ATUL CHATURVEDI)**
**MEMBER (TECHNICAL)**

-SD-
**(BACHU VENKAT BALARAM DAS)**
**MEMBER (JUDICIAL)**

**IN THE NATIONAL COMPANY LAW TRIBUNAL,**

**NEW DELHI, COURT-III**

**COMPANY PETITION NO. (CAA) - 14(ND)/2021**

CONNECTED WITH

**COMPANY APPLICATION NO. (CAA) - 03(ND)/2021**

*(Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)*

**IN THE MATTER OF SCHEME OF AMALGAMATION**

OF

**M/s. EKTA AYAT NIRYAT PRIVATE LIMITED**

**..... Petitioner Company No. 1/ Transferor Company No. 1**

AND

**M/s. WORTH FINANCE AND LEASING PRIVATE LIMITED**

**..... Petitioner Company No. 2/ Transferor Company No. 2**

AND

**M/s. MATHRAN SHARES AND SECURITIES PRIVATE LIMITED**

**..... Petitioner Company No. 3/ Transferor Company No. 3**

AND

**M/s. APRIL INVESTMENT AND FINANCE PRIVATE LIMITED**

**..... Petitioner Company No. 4/ Transferor Company No. 4**

WITH

**M/s. HERTZ ELECTRICALS (INTERNATIONAL) PRIVATE LIMITED**

**..... Petitioner Company No. 5/ Transferee Company**

AND

**THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS**

**Order Delivered on 01.08.2023**

**CORAM:**

**SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)**

**SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)**

**PRESENT:**

| | | |
|---|---|---|
| For the Petitioners | : | Ms. Rekha Mittal, PCS, Adv. |
| For the IT Department | : | Mr. Puneet Rai, Sr. Standing Counsel, Ms. Madhavi Shukla and Mr. Ashvini Kumar, Jr. Standing Counsel IT Department. |
| For the OL | : | Ms. Hemlata Rawat, Adv. |
| For the RD | : | Ms. Shankari Mishra, Ms. Niharika Tanwar, Advs. |

**ORDER**

**PER: ATUL CHATURVEDI, MEMBER (TECHNICAL)**

1. The present Second Motion Petition is filed jointly by the M/s. Ekta Ayat Niryat Private Limited, (Petitioner Company No. 1/ Transferor Company No. 1), M/s. Worth Finance and Leasing Private Limited, (Petitioner Company No. 2/ Transferor Company No. 2), M/s. Mathran Shares and Securities Private Limited (Petitioner Company No. 3/ Transferor Company No. 3), M/s. April Investment and Finance Private Limited (Petitioner Company No. 4/ Transferor Company No. 4) and M/s. Hertz Electricals (International) Private Limited (Petitioner Company No. 5/ Transferee Company) under Sections 230-232 of the Companies Act, 2013 (Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (Rules) for the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and Transferee Company and their respective shareholders and creditors (Scheme).

   The Registered office address of each Petitioner Company is situated in the NCT of Delhi and therefore, it is under the jurisdiction of the National Company Law Tribunal, New Delhi.

2. Transferor Company No. 1 namely M/s. Ekta Ayat Niryat Private Limited, bearing CIN: U74899DL1982PTC013299 was incorporated on 17/03/1982 under the provisions of the Companies Act, 1956 as a Private Limited Company with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 1 is situated at M5A, Bahubali, 1st Floor, Block-59, Plot No. 59/17, New

Rohtak Road, Karol Bagh, Delhi-110005. The Authorized Share Capital of the Company is Rs. 25,00,000/- divided into 25,000 Equity shares of Rs.100/- each and the issued, subscribed and paid-up share capital of the Company is Rs. 24,90,000/- divided into 24,900 Equity shares of Rs.100/- each.

3. Transferor Company No. 2 namely M/s. Worth Finance and Leasing Private Limited, bearing CIN: U74899DL1994PTC062646 was incorporated on 10/11/1994 under the provisions of the Companies Act. 1956, as a Private Limited Company with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 2 is situated at M5A, Bahubali, 1st Floor, Block-59, Plot No. 59/17, New Rohtak Road, Karol Bagh, Delhi-110005. The Authorized Share Capital of the Company is Rs. 2,50,00,000/- divided into 25,00,000 Equity shares of Rs.10/- each and issued, subscribed and paid-up share capital of the Company is Rs. 2,40,16,800/- divided into 24,01,680 Equity shares of Rs.10/- each.
4. Transferor Company No. 3 namely M/s. Mathran Shares and Securities Private Limited, bearing CIN: U74899DL1993PTC055445 was incorporated on 30/09/1993 under the provisions of the Companies Act. 1956, as a Private Limited Company with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferor Company No. 3 is situated at B-525, New Friends Colony, New Delhi, Delhi-110065. The Authorized Share Capital of the Company is Rs. 51,70,000/- divided into 10 Management Equity Shares of Rs. 1,000/- each, 49,900 Equity Shares of Rs. 100/- each and 17,000 Preference Shares of Rs. 10/- each and issued, subscribed and paid-up share capital of the Company is Rs. 51,25,000/- divided into 05 Management Equity Shares of Rs. 1,000/- each, 49,500 Equity Shares of Rs. 100/- each and 17,000 0% Optionally Convertible Redeemable Preference Shares of Rs. 10/- each.
5. Transferor Company No. 4 namely M/s. April Investment and Finance Private Limited, bearing CIN: U74899DL1994PTC063552 was incorporated on 16/12/1994 with the name and style “M/s. Black Sea

Investments and Finance Private Limited" under the provisions of the Companies Act. 1956, as a Private Limited Company with the Registrar of Companies, NCT of Delhi and Haryana. Thereafter, the Company changed its name from "M/s. Black Sea Investments and Finance Private Limited" to "M/s. April Investment and Finance Private Limited" with effect from 31.12.2001. The registered office address of Transferor Company No. 4 is situated at M5A, Bahubali, 1st Floor, Block-59, Plot No. 59/17, New Rohtak Road, Karol Bagh, Delhi-110005. The Authorized Share Capital of the Company is Rs. 2,00,00,000/- divided into 20,00,000 Equity shares of Rs.10/- each and issued, subscribed and paid-up share capital of the Company is Rs. 1,35,82,700/- divided into 13,58,270 Equity shares of Rs.10/- each.

6. Transferee Company namely M/s. Hertz Electricals (International) Private Limited, bearing CIN: U74899DL1980PTC010970 is a company originally incorporated on 22/10/1980 under the provisions of the Companies Act, 1956 as a Private Limited Company with the Registrar of Companies, NCT of Delhi and Haryana. The registered office address of Transferee Company is situated at M5A, Bahubali, 1st Floor, Block-59, Plot No. 59/17, New Rohtak Road, Karol Bagh, Delhi-110005. The Authorized Share Capital of the Company is Rs. 25,00,000/- divided into 25,000 Equity shares of Rs.100/- each and the issued, subscribed and paid- up share capital of the company is Rs. 22,79,400/- divided into 22,794 Equity shares of Rs.100/- each.
7. It is stated that the Transferee Company viz., M/s. Hertz Electricals (International) Private Limited has moved the necessary second motion Petition being **CP (CAA) – 14(ND)/2021** on 15.01.2021, connected with the first motion Application being **CA (CAA) – 03(ND)/2021**, before the National Company Law Tribunal, New Delhi.
8. The Board of Directors of the Transferor Companies and of the Transferee Company in their respective Board Meetings dated 01.12.2020, considered and unanimously approved the proposed Scheme of Amalgamation.

A Copy of the Board Resolution dated 01.12.2020, passed by the Board of Directors of the Transferor Company and of the Transferee Company, inter alia, approving the Scheme and the filing thereof with this Tribunal is filed along with the Petition.

9. The rationale for, without prejudice to the generality, the proposed Amalgamation is expected to achieve the following results in particular:

**i.** All the Transferor Companies and the Transferee Company have closely held Private Group Companies under common shareholding management and control. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in business synergy, consolidation and pooling of their resources.

**ii.** The proposed amalgamation would enable pooling of physical, financial and human resources of these Companies for the most beneficial utilization of these factors in the combined entity. Post Scheme, the Transferee Company will enjoy a large net worth and financial resources.

**iii.** The proposed Scheme of Amalgamation will result in the usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resources and enhancement of overall business efficiency. The proposed Scheme will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth of their businesses.

**iv.** The said Scheme of Amalgamation will strengthen, consolidate and stabilize the business of these Companies and will facilitate further expansion and growth of their business. The resulting amalgamated company will be able to participate more vigorously and profitably in the competitive market scenario.

**v.** The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

**vi.** The said Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

With the aforesaid objectives and to give effect to the terms of this scheme of amalgamation, the Transferor Companies and the Transferee Company will combine the activities and operations into a single company i.e. the Transferee Company for synergetic linkages besides the benefits of financials and other resources of each other respectively.

10. This Tribunal by its order dated 08.01.2021 dispensed with the requirement to convene the meetings of the Shareholders of the Transferor Companies and the Transferee Company as sought through the first motion application. None of the Transferor Companies and the Transferee Company has any Secured and Unsecured Creditor.

11. The Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices. This Tribunal vide order dated 19.01.2021 directed to issue notice to the Regional Director (Northern Region), Ministry of Corporate Affairs, Registrar of Companies, NCT of Delhi and Haryana, Ministry of Corporate Affairs, Official Liquidator attached to the High Court Of Delhi and Such other Sectoral Regulatory Authorities who shall be affected by the proposed Scheme and to such other Objector(s), if any, and also directed that the notice be published in two newspapers i.e., Business Standard (English Edition) and Business Standard (Hindi Edition) Delhi edition.

12. It is submitted by the Petitioners that in compliance of the above-stated directions, the Petitioners duly filed an Affidavit of Service dated 12.02.2021 by confirming that the aforesaid Notices of the present Company Petition were published on 30.01.2021 in Business Standard (English Edition) and Business Standard (Hindi Edition) Delhi edition.

    It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities as per the direction given by this Tribunal dated 19.01.2021.

13. Though notices were served to all the concerned statutory authorities and the paper publication was done consequent to the order passed by this tribunal on 19.01.2021. The Income Tax Department chose neither to make any representation nor has submitted any report, it is hereby assumed that the Income Tax Department has no objection with respect to the approval of the present Scheme of arrangement. Further, the petitioner companies filed an Affidavit dated 10.07.2023 stating that the Income Tax Department has the right to take action to retain its recourse for recovery in respect of any existing or future tax liabilities, including imposition of penalities, etc., of the Transferor Companies and the same is binding on the Transferor Companies as well as the Transferee Company.
14. The Regional Director along with the Registrar of Companies vide it's report dated 18.05.2022 has not objected to the proposed scheme of the arrangement but has made certain observations. The petitioner companies have filed reply dated 02.07.2022 in response to the observations made by the Regional Director, wherein the petitioner companies have given an undertaking to appropriately comply with the observations made by the Regional Director.
15. The Official Liquidator vide it's report dated 09.02.2021 submitted to this tribunal stating therein that they have no objection with respect to the present scheme of arrangement.
16. The Petitioners Companies submit that the provisions relating to the accounting treatment for the proposed amalgamation, as contained in the Scheme of Amalgamation, are in conformity with the applicable provisions of the Companies Act, 2013, Accounting Standards as prescribed under the Companies (Accounting Standards) Rules, 2006, Ind AS as prescribed under the Companies (Indian Accounting Standards) Rules, 2015, and Generally Accepted Accounting Principles in India (India GAAP), as the case may be. The Statutory Auditors of the Transferor Companies and the Transferee Company have confirmed the same.

Certificates from the Statutory Auditors of the Transferor Companies and Transferee Company on the accounting treatment as proposed in the Scheme are enclosed along with this petition.

17. No investigation proceedings have been instituted and are pending in relation to either of the Petitioner Companies under Sections 235 to 251 of the Act or under Sections 206 to 229 (Chapter XIV) of the Act. To the knowledge of each of the Petitioner Companies, no winding-up petition (including under Section 433 read with Section 434 of the Companies Act, 1956) and/or insolvency proceedings have been filed/instituted and are pending against either of the Petitioner Companies. None of the directors of the Petitioner Companies have any material interest in the Scheme except to the extent of their directorships and shareholding in the Petitioner Companies. This Joint Second Motion Petition is made bona fide and in the interest of justice and no one will be prejudiced if orders are made/or directions are given as prayed for.

18. **Analysis and Finding**

**i.** After considering the reports, we are of the considered view that the Scheme is not prejudicial to the interest of the equity shareholders and creditors of the Transferor Companies and the Transferee Company and the Scheme will be beneficial to the Transferor Companies, Transferee Company and their respective shareholders and creditors.

**ii.** The shareholders of the petitioner company are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by this Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies approved by shareholders and creditors.

**iii.** It has also been affirmed in the petition that the Scheme is in the interest of both the Transferor Companies, Transferee Company, their respective shareholders, creditors, employees and all concerned.

Upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

19. Consequently, the sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013.

i. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

ii. Notwithstanding the above, if there is any deficiency found or, the violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

iii. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

iv. In compliance with the requirement of Section 230 (1) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation filed stated in Form CAA 8 along with the required fee as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

v. The appointment date as proposed in the Scheme of Arrangement i.e., 01.04.2020 by the Petitioner Companies is confirmed by this Tribunal.

20. This Tribunal does further order: -

i. That the Transferor Companies shall stand dissolved without following the process of winding-up; and

ii. That all properties, rights and powers of the Transferor Companies be transferred without further act or deed to the Transferee Company and accordingly, the same shall pursuant to Section 230-232 of the Companies Act, 2013 be transferred to and vested in the Transferee Company for all intents, purposes and interest of the Transferor Companies subject nevertheless to all changes now affecting the same; and

iii. That all the liabilities, (if any) and powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company; and

iv. That all proceedings now pending by or against the Transferor Company shall be continued by or against the Transferee Company; and

v. That all the employees of the Transferor Companies in service, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date, shall become the employees of the Transferee Company on such date, without any break or interruption in service and upon terms and condition not less favorable than those subsisting in the concerned Transferor Companies on the said date; and

vi. That the Petitioner Companies, shall within thirty days of the date of the receipt of this order cause certified copy of this Order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies shall be deemed to be transferred; and

vii. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

21. Accordingly, the Scheme stands **sanctioned** and **CP(CAA)/14 (ND)/2021** stands **disposed of** in the above terms.

Let copy of the order be served to the parties.

**-SD-**
**(ATUL CHATURVEDI)**
**MEMBER (TECHNICAL)**

**-SD-**
**(BACHU VENKAT BALARAM DAS)**
**MEMBER (JUDICIAL)**